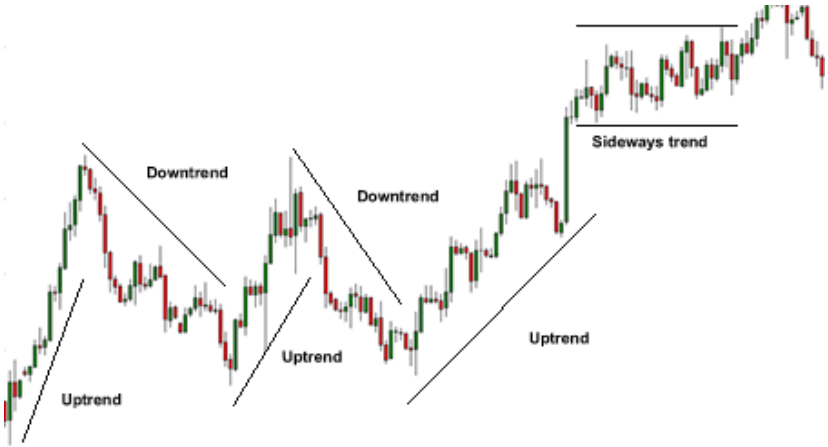
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CHAPTER V

ELEMENT OF TRADING

TRENDLINE



Trendline is the line where we mark the formation of a trend. Either to predict an uptrend (Uptrend) or a downtrend (Downtrend). It includes the market's journey

3 Type of Trend

1. Uptrend
The Uptrend direction of market movement, also known as 'Bullish"

2. Downtrend
Downward direction of market movement, also known as 'Bearish"

3. Sideways
The direction of market movement is horizontal (sideways), also known as 'ranging' or 'flat'

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TYPE OF TRENDLINES

Trendline + SNR is divided into 4 types:

1. Trendline SNR
i. Trendline Support (TLS)
ii. Trendline Resistance (TLR)

2. Trendline SNR
i. Trendline Support become Resistance (TLSR)

3. Trendline RBS
i. Trendline Resistance become Support (TLRS)

4. Trendline Breakout i. Breakout trend is either in the TL Support area or in the TL Resistance area

To identify trends and entry zones, it is necessary to understand that trendlines are divided into 2 types:

a) Major Trendline

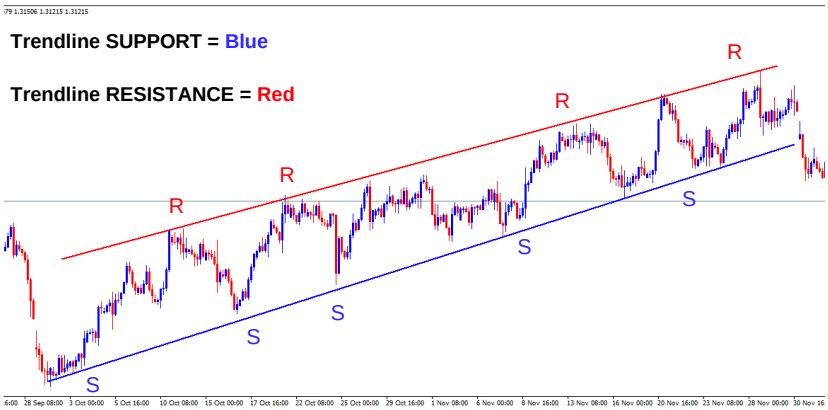
- Pulled on the Big TF to see the trend. For example:
i. M30 for scalping
ii. D1 for intraday
iii. MN for swing

b) Minor Trendline

- Pulled on the TF used to find the entry. For example:
i. M1, M5 and M15 for scalping
ii. H1 and H4 for intraday 5
iii. D1 and Weekly for Swing

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HOW TO DRAW & ENTRY TRENDLINES + SNR



CHow to Draw a Trendline:

We need to pull from HIGH to HIGH for Resistance. We need to pull from LOW to LOW for Support.

Body to Body
- This way high risk and floating will be more.

Shadow to Shadow
- This way low risk and floating will be less.

Marking zone - specific zones.

The entry method is to wait for the price to touch the trendline:
- In Trendline Resistance for SELL
- In Trendline Support for BUY
- On Trendline SBR to SELL
- On Trendline RBS to BUY

But candlestick cannot go out of trendline. If you go out (breakout) you need to cutloss/ close order.

NOTE: Valid for all pairs. ALWAYS LOOK LEFT FOR THE NEAREST SNR!

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MAJOR, MINOR TRENDLINE

A) Major Trendline

Major Trendline is a trendline drawn on a large TimeframeTimeframe to see the original trip.

B) Minor Trendline

Minor Trendline is a trendline drawn on a small Timeframe to find a sharp entry and less floating.

<u>Step by Step to pull the Trendline!</u>

Step 1 (Major Trendline) - Pull the trendline on a large Timeframe according to the Scalping, Intraday or Swing entry method.

Example:- Scalping: Drag on the Timeframe M30 or M15. Intraday: Pull on the Daily Timeframe. Swing: Pull on Weekly or Monthly

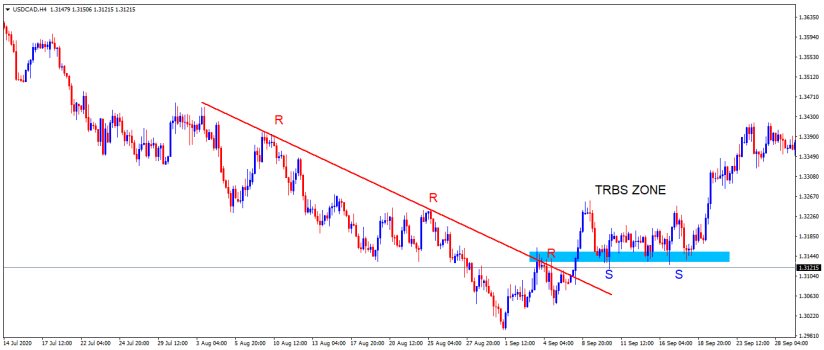
Step 2 (Minor Trendline) - Drag the trendline on a small Timeframe to find entries according to the Scalping, Intraday or Swing entry method.

Examples:- Scalping: Pull on Timeframe M1 or M5 Intraday: Pull on H1. Swing: Pull on Daily.

Step 3 (SNR) - Once you've pulled everything, wait in the Trendline and SNR zone to enter.

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TRENDLINE + SnR FLIP



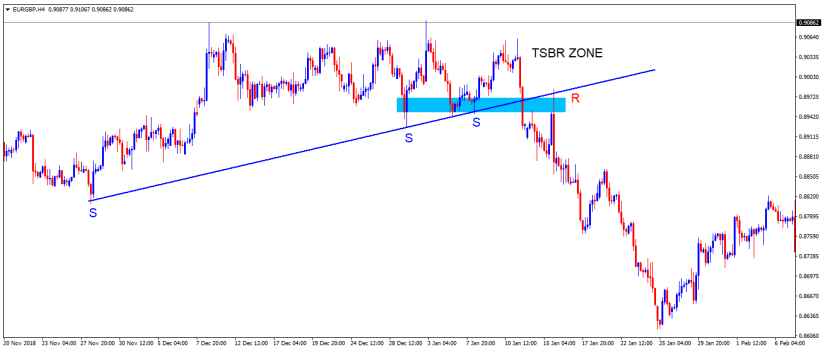
The RBS trendline is a trendline for price retest/retrace area a breakout.

How to draw this trendline?

You need to pull from HIGH to HIGH

1. RED Line Trendline Resistance
2. BLUE box Retest/Retrace area
3. The RED Line is the Resistance Trendline that turns into Support after price breakout.
4. Entry area is in the BLUE Box where the price touches again Trendline.

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SBR trendline is a trendline for price retest/retrace a◆er breakout.

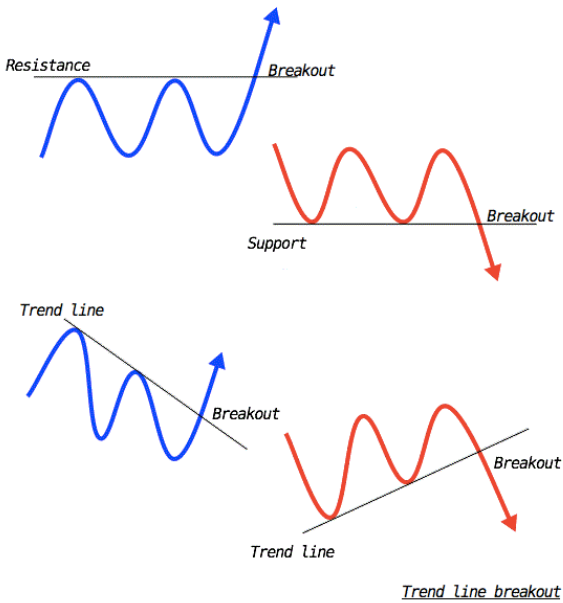
How to draw this trendline?

You need to pull from LOW to LOW

BLUE Line Trendline Support
BLUE box Retest/Retrace area
The BLUE line is the Trendline Support changed to Resistance after the price breakout.
Entry area is in the BLUE Box where the price touches the Trendline again.

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TRENDLINES BREAKOUT



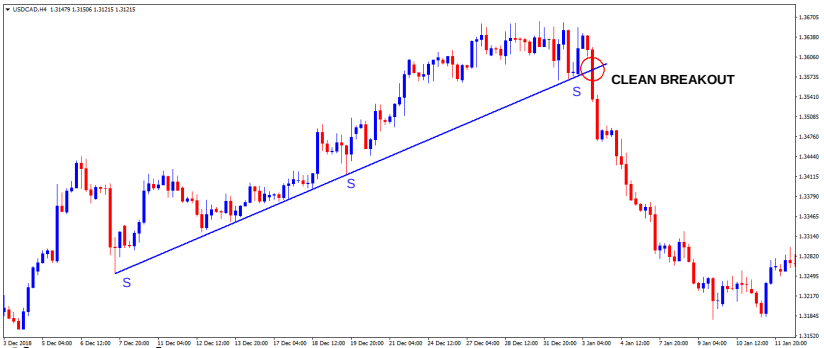
Trendline breakout occurs when the trendline is outlined, broken by the market price when a breakout occurs, then the market will change trend.

If the market is UPTREND and there is a breakout, the market will change to DOWNTREND.

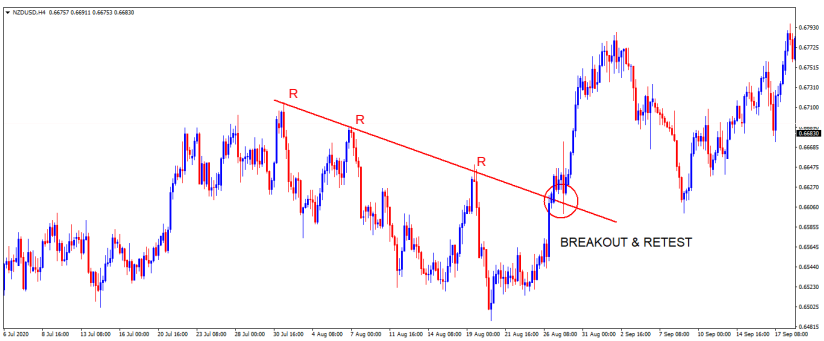
If the market is DOWNTREND and there is a breakout, the market will change to UPTREND.

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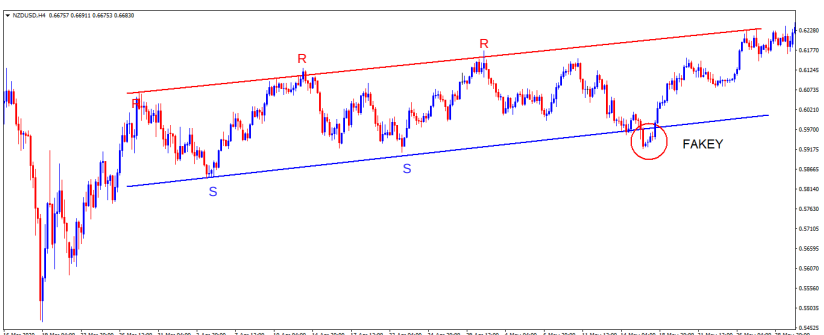
There are 3 instances of a Trendline Breakout:-



Clean Breakout



Breakout & Retest

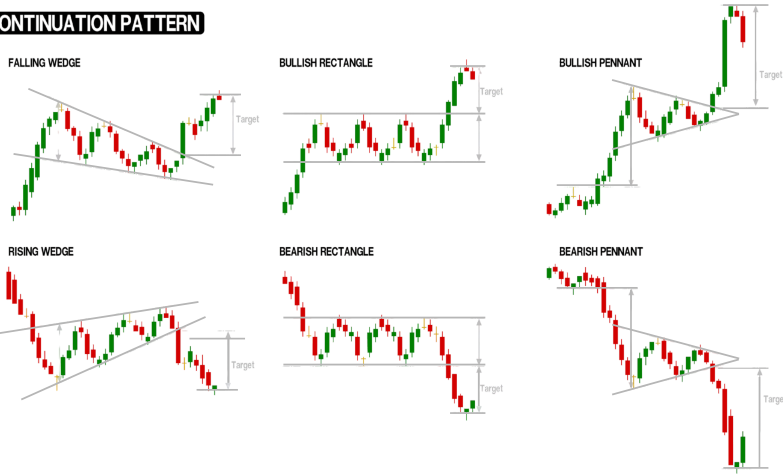


Fakey (Fake Breakout)

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CHART PATTERNS

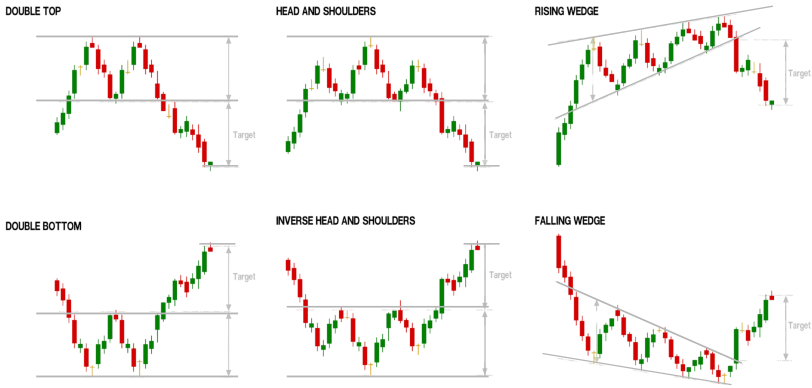
CONTINUATION PATTERN



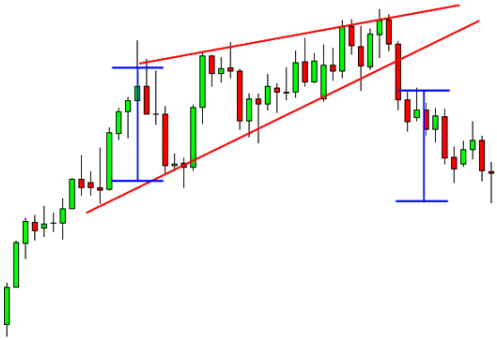
Pattern charts are an important element in analytical techniques. Every investor and trader must know the knowledge of Chart Pattern as a guide for them to analyze market price movements.

Pattern chart is a pattern formed from price movements and can help us to determine which direction the next price will go. This price pattern is guided by the previous market price.

REVERSAL PATTERN



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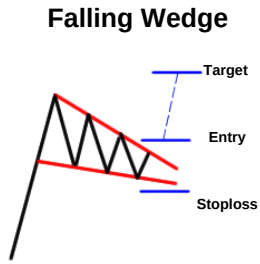


CONTINUATION PATTERN gives a signal where the market price will continue to rise according to the current price trend.

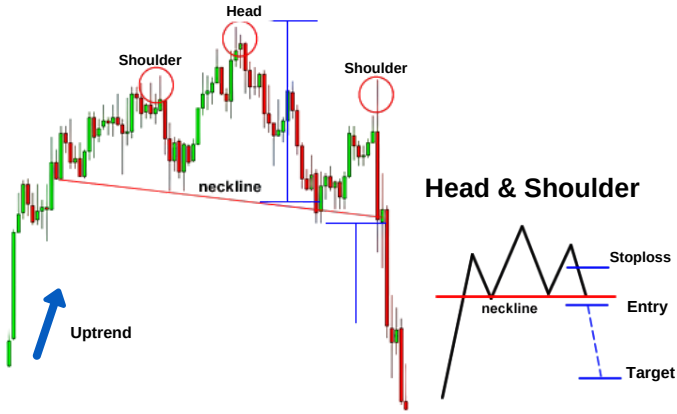
For example, when a company's stock price moves in an uptrend, it will rest to make a correction/retracement.

During this retracement, the Pattern Chart will be formed. If what is formed is a Continuation Pattern, then the market price will continue to rise according to the previous trend.



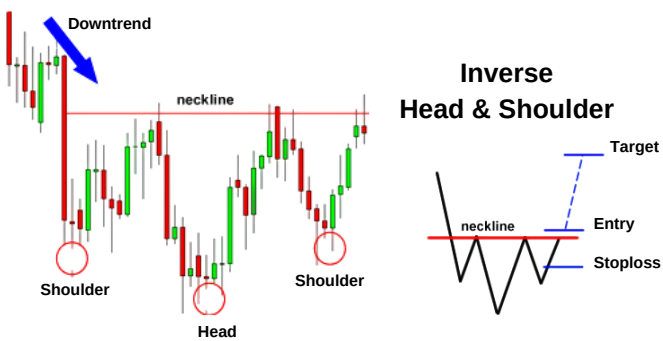


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REVERSAL PATTERN gives a signal that can tell us that the market is slow or the momentum is not strong and may change direc﷿on from uptrend to downtrend or vice versa.

For pattern reversal, the best way to use it is with a combination of Support & Resistance.



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